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STOCK PITCH COMPETITION

Intel: Growing Through Share Loss

Conditional LONG at $40 or below | $82.47 December 2030 target

NASDAQ: INTC | Reference: $56.28 at the November 6, 2026 close | Core return at this quote: 9.6% per year

Investment Thesis

1 **Market expansion can absorb Intel's loss of CPU shipment share**

2 **Xeon volume and richer configurations drive sales above consensus**

3 **Factory recovery increases the profit Intel retains from product sales**

What Drives the Forecast?

40% industry growth offsets a decline from 50% to 42% share. Intel units still rise 17.6%. The $31.74B revenue forecast also requires 21.9% higher annual ASP.

25% unit growth and 8% ASP growth in 2028 lift company sales to $90.01B, versus $83.72B consensus. Cloud deployments support adoption; quantities remain a forecast.

Foundry and added packaging contribute $7.73B of EBIT growth. That is 31.5% of the 2027-30 increase, with $124.5B of capex over the same period.

These drivers put 2028 revenue 7.5% above consensus

Company revenue ($B)	My forecast	Consensus	Difference
2027E	72.42	69.27	+4.6%
2028E	**90.01**	**83.72**	**+7.5%**

Sources: November 6 quote; Intel Q3 filing; TrendForce; S&P Global via Simply Wall St; analyst model. No new position at $56.28. A $40 entry clears my 12% return hurdle in the joint stress on page 7; it is not a forecast of a price decline. Values remain conditional on delivery. Returns exclude dividends.

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Business Overview

My 2028 sales forecast is $6.3B above consensus

Products sell chips; Foundry supplies manufacturing and packaging

INTEL PRODUCTS

Xeon server CPUs and client CPUs
Custom silicon and network products

+

INTEL FOUNDRY

Internal manufacturing services
External wafers and packaging

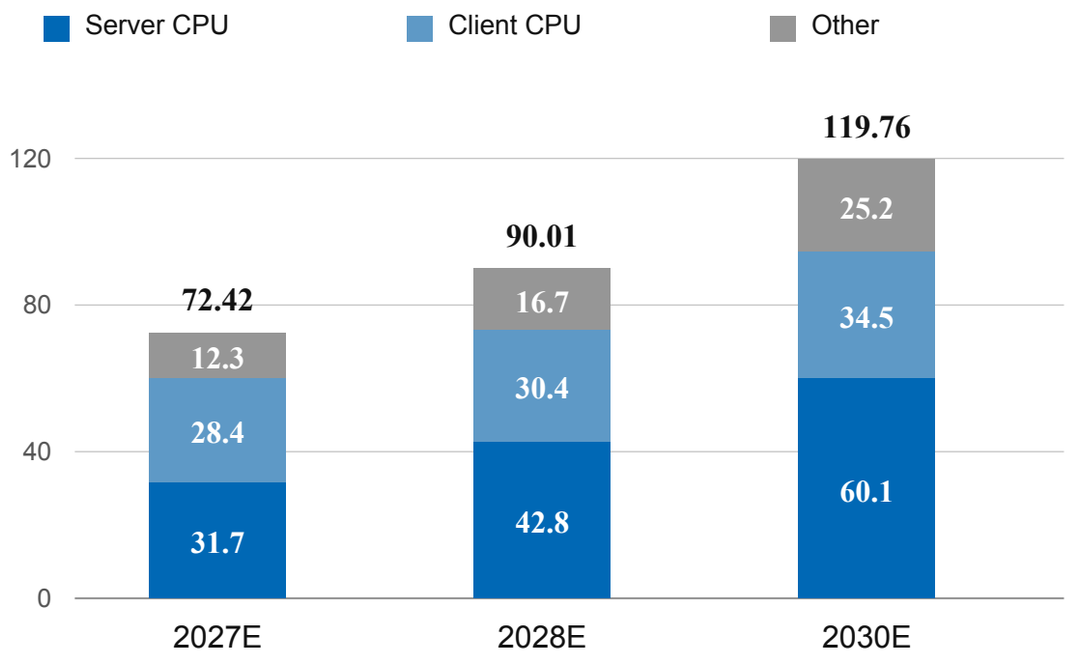
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CONSOLIDATED INTEL

External customer sales
Products + Foundry earnings

Internal manufacturing revenue is eliminated from consolidated sales

CPU sales contribute 60% of revenue growth ($B)



- **CPU sales add $28.33B** of the $47.33B increase in company revenue from 2027 to 2030.
- **Products supply 94%** of modeled 2027 external sales. The case does not need a new high-volume external wafer win.

Forecast versus published consensus ($B)

Company revenue	2027E	2028E
My forecast	**72.42**	**90.01**
S&P Global consensus	69.27	83.72
Difference ($B)	+3.16	+6.30
Difference (%)	**+4.6%**	**+7.5%**

- **The measurable disagreement is sales.** I have not established a comparable consensus forecast for CPU shipment share or parent cash.
- Higher product profit must survive **factory losses and capital spending** before it reaches shareholders.

Sources: Intel segment definitions and eliminations; S&P Global series via Simply Wall St, November 6; analyst model. Other includes other DCAI, net Other, legacy external Foundry and gross new packaging. Existing external business and $7B of gross 2030 packaging revenue remain in the case.

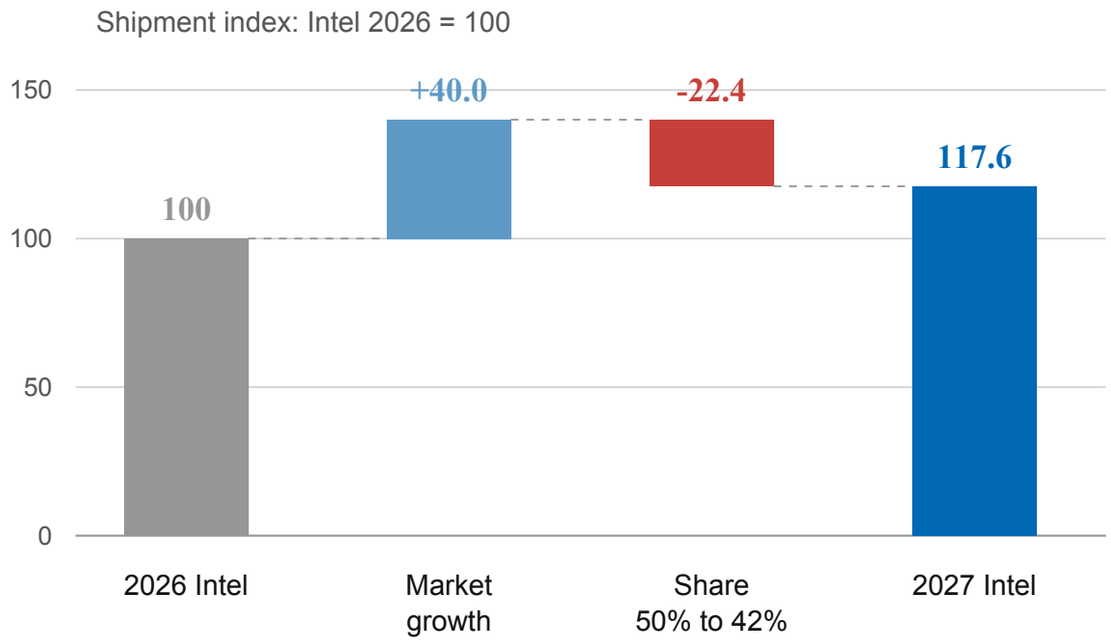
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Thesis 1: A Larger Server CPU Market

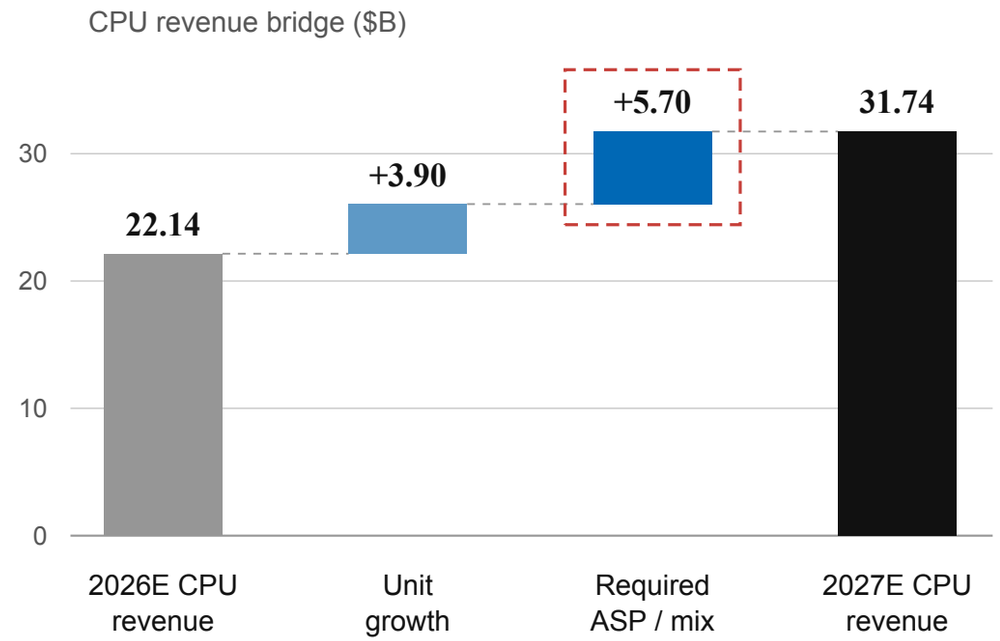
Losing eight share points can still mean selling more processors

1. Market growth can outweigh falling unit share



- **1.40 x 42% / 50% - 1 = 17.6% unit growth.** The industry forecast can absorb an eight-point decline in Intel shipment share.

2. Volume alone does not reach the sales forecast



- **Annual ASP / mix must rise 21.9%.** At 30% industry shipment growth, the same revenue target needs 31.3% ASP growth.

Slower market growth puts more pressure on price and mix

Industry shipment growth	20%	30%	40%	50%
Implied Intel unit growth	0.8%	9.2%	17.6%	26.0%
ASP growth needed for $31.74B sales	**42.2%**	**31.3%**	**21.9%**	**13.8%**

Counterexample: 10% ASP growth, same unit path. 2027 company sales fall to $69.33B, essentially consensus. Carrying that lower base through unchanged 2028 growth gives $85.84B, only 2.5% above consensus.

Source: TrendForce October 22 outlook; analyst calculations. Industry growth and shares are rounded forecasts. 2026 CPU revenue base: $22.14406B. The shipment bridge checks the quarterly sales forecast rather than independently producing it. ASP includes mix; share is measured in shipments.

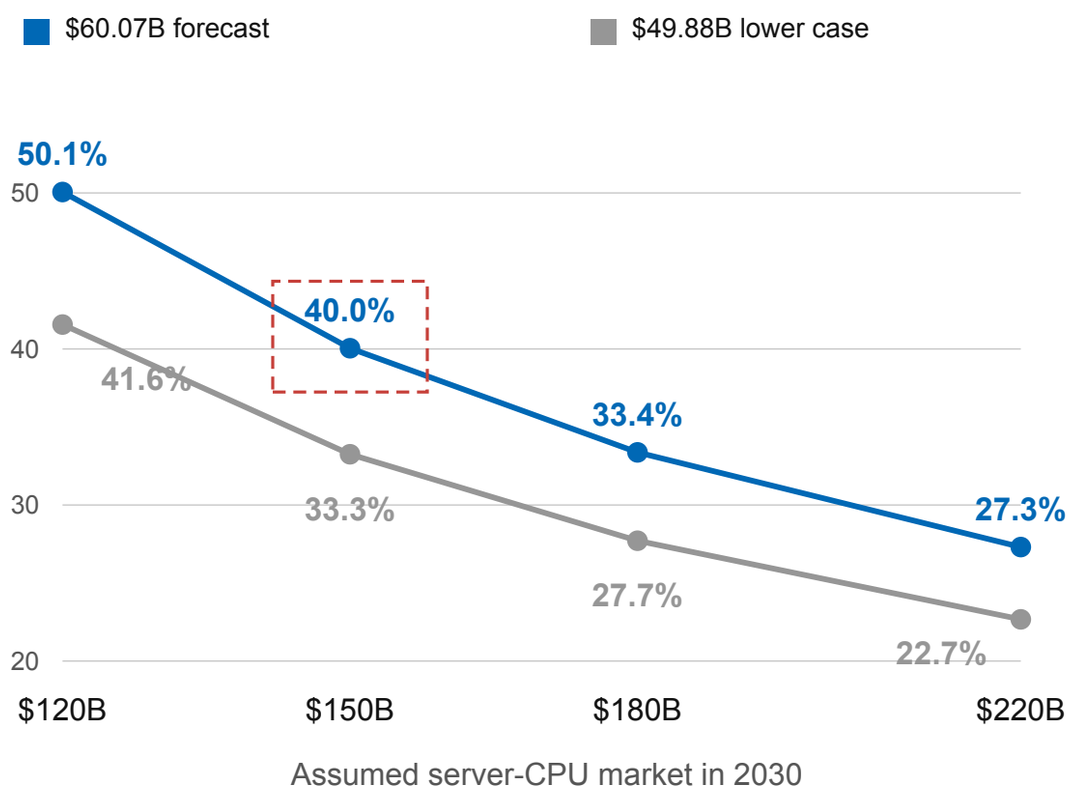
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Thesis 1: How Much Share Is Required?

The $60B CPU forecast needs 40% dollar share in a $150B market

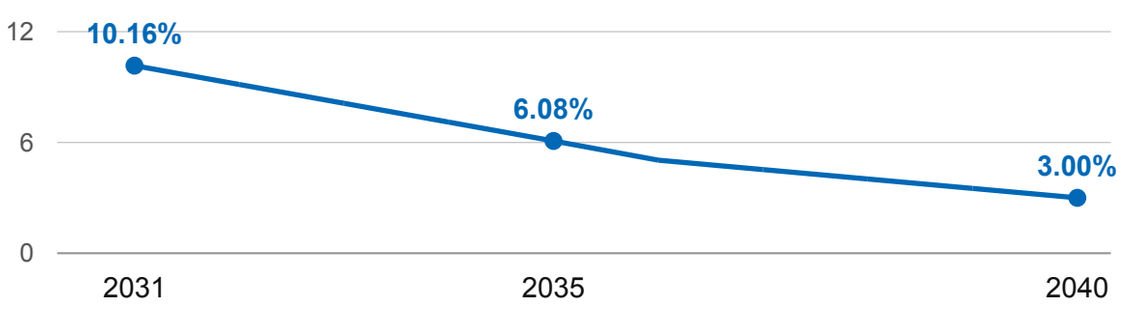
Required 2030 CPU revenue share



Vendor forecasts point to a larger CPU market

- **Different vendor estimates use different dates.** AMD describes about $220B in 2030. Intel describes more than $200B over five years from October 2026, approximately 2031.
- **TAM arithmetic does not establish Intel capture.** At $150B, Intel needs 40.0% of CPU revenue. A $120B market raises that requirement to 50.1%.
- **Dollar share can exceed unit share** if Intel sells richer packages. The ASP premium must be earned; captive Arm treatment in vendor estimates remains unclear.

The model carries CPU growth beyond 2030



$60.07B to $108.03B of CPU sales in 2030-40. Annual growth fades from 10.16% to 3.00%, a 6.0% CAGR. With 92.9% of operating value coming after 2030, sustained profitability matters more than the near-term ramp alone.

Sources: AMD Q3 prepared remarks, p.3; Intel Q3 prepared remarks; analyst forecast. Market sizes are scenarios, not observed TAM. Whole-server spending and GPUs are excluded. Revenue share = unit share x Intel ASP / market ASP. Long-run growth and required shares are assumptions.

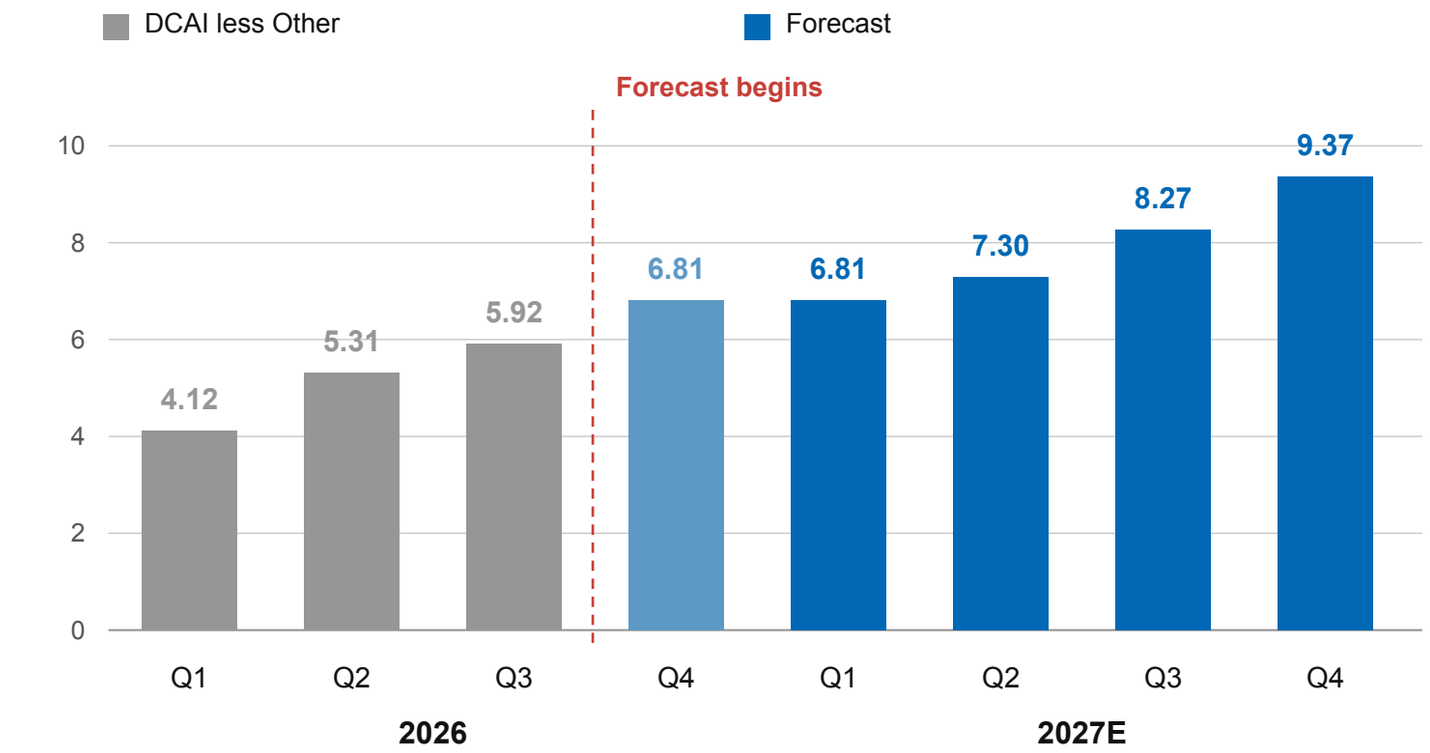
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Thesis 2: Underwriting the Xeon Ramp

Retaining the modeled Q4 mix preserves most of the sales upside

CPU sales: derived actuals and my quarterly forecast ($B)



Q4 is an allocation, not CPU guidance. The $6.81B estimate assumes DCAI +17% and Other DCAI +25% sequentially. Intel guided DCAI to mid-teens growth, with purpose-built silicon growing faster.

Why I expect mix to persist

- **The transition is visible.** Q3 server ASP rose 54% and units 10% year over year. Premium mix drove most of the ASP increase; Granite Rapids is now Intel's largest server family.
- **Customers have committed.** Intel reported signed long-term DCAI agreements, including Google. They support demand persistence; quantities and net-price floors are undisclosed.
- **Flat estimated Q4 ASP in 2027:** company sales are $71.17B in 2027 and $88.32B in 2028, still 5.5% above 2028 consensus. The 2028 unit and ASP assumptions stay unchanged.

A first-half miss makes the required second-half ramp much steeper

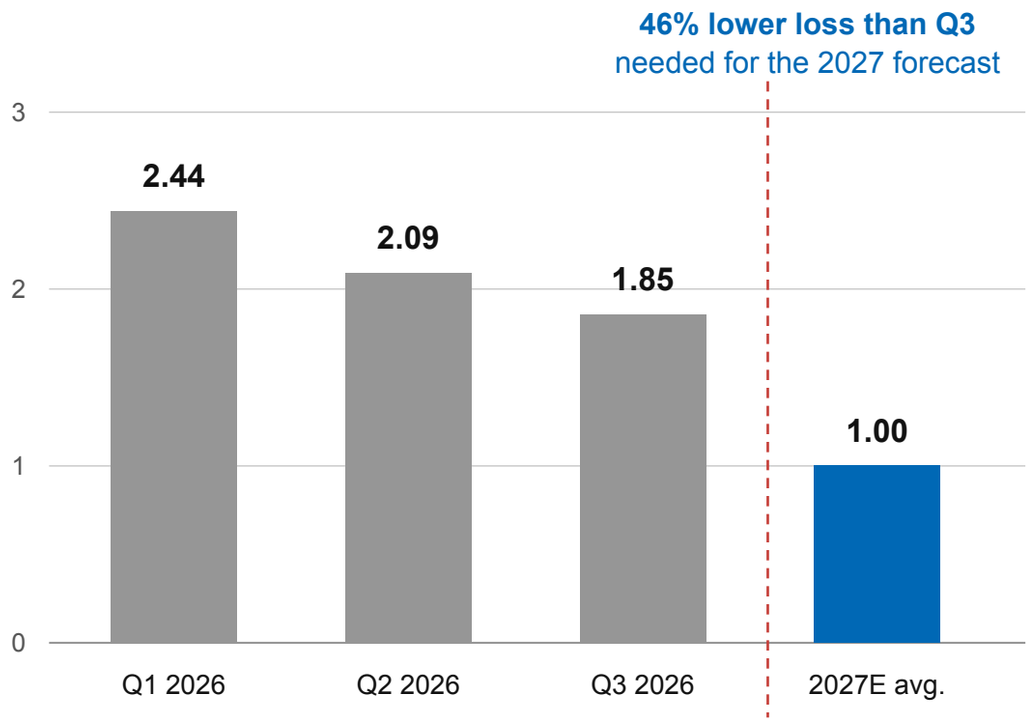
2027 H1 outcome	H1 CPU sales ($B)	H2 needed for $31.74B	Required H2 / H1
My forecast	14.11	17.63	+25.0%
5% below forecast	**13.40**	**18.34**	**+36.8%**

Sources: Intel Q1 / Q2 / Q3 filings; Q1 agreements, p.4; Q3 product mix and guidance. CPU residuals inherit rounded Other DCAI; quarterly/YTD totals differ by $14M. Q4 is estimated. Flat-ASP control holds Q4 ASP through 2027 with the same unit path, then applies +25% units / +8% ASP in 2028. Core 2027 growth includes $5.10B of exit carryover and $4.49B of further ramp; no price floor is established.

Thesis 3: Factory Recovery Has a Hurdle

A two-year delay lowers the target to $79.59; breakeven alone gives $75.32

Quarterly Foundry operating loss ($B)



What drove the Q3 year-over-year improvement?

Q3 Foundry EBIT change ($M)	Amount
Lower period charges	+793
Higher operating expenses	(219)
Other net change (calculated)	(106)
Reported improvement	**+468**

The charge benefit exceeds the reported gain. It includes process and inventory costs; it is not all nonrecurring. Removing it is a diagnostic, not normalized earnings.

Management reports lower node costs: Intel 3 costs down about 15% and Intel 18A costs down about 40% since Q1. Those gains are already in current results.

Foundry paths | 2030 target at 10.625%

Foundry path	EBIT ($B)	Target
Owned forecast	**2.50**	**$82.47**
Recovery two years late	(0.75)	$79.59
Breakeven; no later profit	0.00	$75.32

Packaging margins alone add little

Program operating margin	2030 target
20% control	$81.27
Owned: 25%, then 27%	**$82.47**
30% control	$83.03

ASE reported 20% assembly/test/material operating margin; its mix differs from Intel. The 30% packaging control gives **9.8% annual return**, or 6.8% at the higher discount rate.

Sources: Intel Q2 / Q3; ASE Q3 results; analyst scenarios. Values use 10.625% unless stated. Factory stresses hold packaging fixed. Packaging controls change total program margins from 2030 onward, including embedded profit; output and capital stay fixed. Peer margins do not validate Intel fees or scale. $7B sales and factory recovery remain forecasts.

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Valuation: Require a Better Entry

At $56.28, core return is 9.6%; the higher-rate case returns 6.7%

Adjusted present value ($B, except per share)

Value component	Dec. 2026	Dec. 2030
Explicit operating cash value	151.02	194.05
Terminal operating cash value	149.84	224.41
Financing tax benefits	2.84	3.01
Net assets and commitments	5.63	32.95
Equity value	**309.33**	**454.41**
Per share	**$56.14**	**$82.47**

Use both risk methods. The 10.625% rate uses 4.94% Treasury + 1.5 beta x 3.79% ERP. At 11.555%, December 2026 value falls to $48.56. Equity holdings and outstanding commitments are already in the net-asset bridge.

Annual returns at $40 under weaker outcomes

Scenario	2030 target	Return
Higher-rate core	$73.56	15.8%
Selected joint stress	**$64.74**	**12.3%**
Joint + CPU delay	$59.50	10.0%
Joint + CPU + capital	$56.08	8.5%
Separate adverse bundle	$38.13	(1.1%)

$40 is an entry condition, not a downside floor. Rebuild sales, cash and the remaining horizon after material news. The selected stress retains the faster CPU path; weaker operations can miss my return requirement.

Require 15% in the higher-rate core and 12% in the selected joint stress

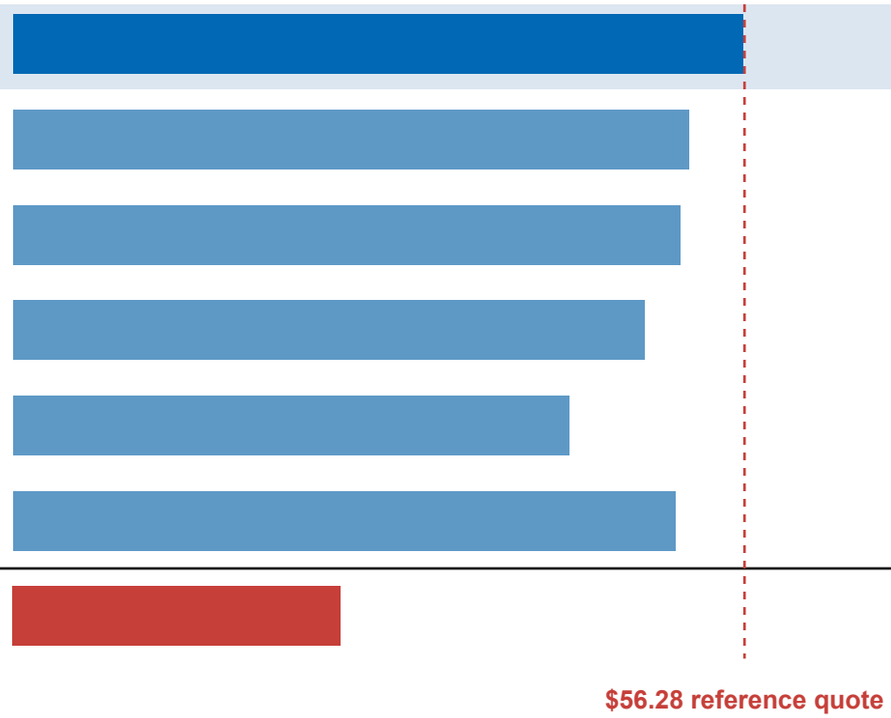
Required annual return	Core $82.47 target	Higher-rate $73.56	Joint stress $64.74
10%	$55.53	$49.53	$43.59
12%	**$51.52**	**$45.96**	**$40.45**
15%	$46.17	$41.18	$36.24

Sources: analyst model; November 6 quote; NYU ERP data. Entry = target / (1 + hurdle)^4.1506; hurdles are my judgments. Joint stress uses Foundry breakeven, 15% return on modeled net investment from 2041 and 11.555% rate. Added CPU delay persists; added capital case changes 2031-40 sales/net-investment from 0.80 to 0.60, with separate packaging investment unchanged. First four rows include 8% revolver costs where needed; access is assumed, fees unmodeled. Planning value and quote differ by 55 days.

Downside Cases

A lower entry improves returns; it does not remove operating risk

Change from the investment case	December 2026 value / share	2030 target	Annual return
Investment case	**$56.14**	$82.47	9.6%
CPU ramp one quarter late; no catch-up	**$52.01**	$76.43	7.7%
Foundry breakeven; no later profit	**$51.31**	$75.32	7.3%
Alternative operating rate: 11.555%	**$48.56**	$73.56	6.7%
Foundry zero + 15% terminal return + rate	**$42.80**	$64.74	3.4%
One $3B packaging program absent	**$50.97**	$74.80	7.1%
Joint downside: slower case + 11.555%	**$25.22**	$38.13	(9.0%)



The operating results that would change my forecast

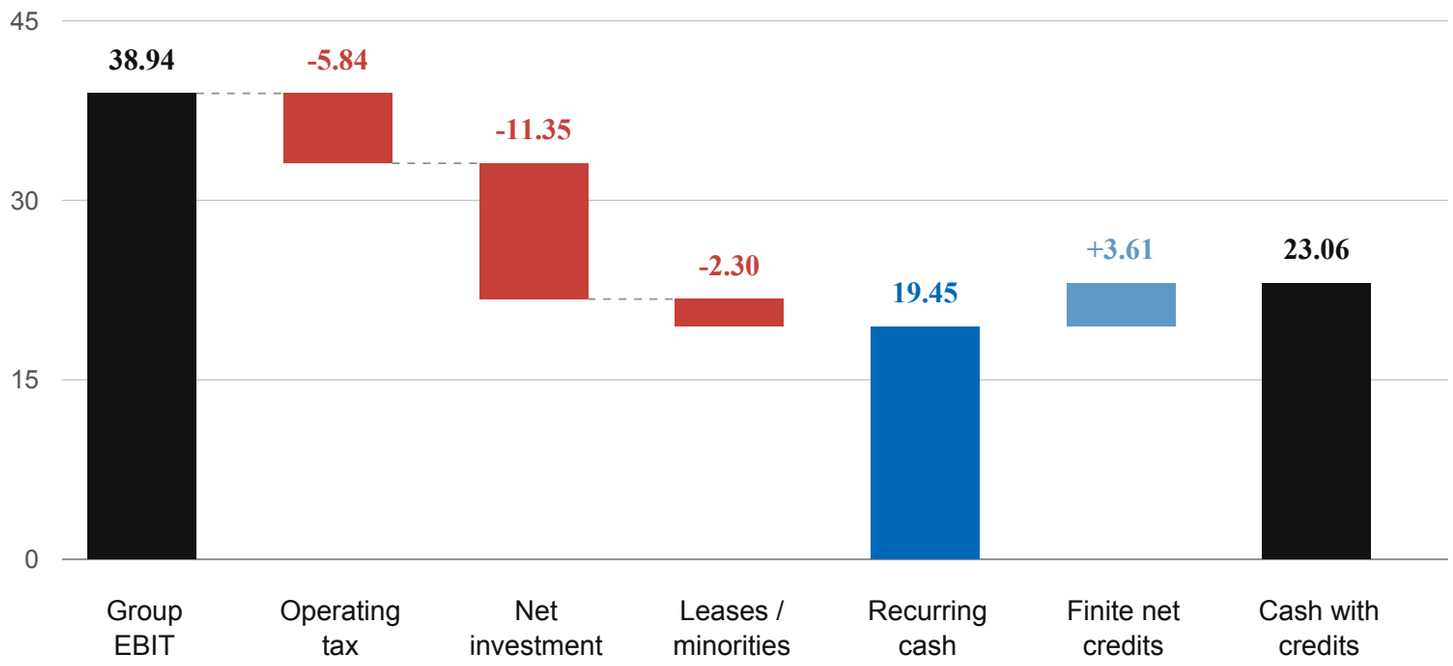
Risk	How it reaches shareholders	What I would monitor
CPU demand / mix	A one-quarter ramp delay cuts 2027 CPU sales to $29.19B; the shortfall is not recovered.	H1 CPU sales of $14.11B. A 5% miss would require 36.8% H2/H1 growth.
Factory / packaging	Committed manufacturing costs limit flexibility; a missed program leaves capital underused.	2028 group EBIT of $24.59B; Foundry reaches $2.50B profit in 2030.
Duration / discount rate	92.9% of operating value comes after 2030, magnifying the effect of a higher required return.	Revalue at both 10.625% and 11.555%; test slower long-run CPU growth.

Source: analyst model; scenarios have no assigned probabilities. CPU delay, factory and joint stresses retain $124.5B near-term capex. Terminal return means return on modeled net investment; R&D remains expensed. Changes start in 2041. This table precedes incremental funding costs; pages 7 and 9 show the broader combined, funded stress. The joint downside is a separate adverse bundle. Packaging stress retains committed costs; scenario losses are not additive.

Cash Conversion: What Intel Must Deliver

$38.94B of EBIT becomes $19.45B of recurring operating cash

2030 cash bridge | $B, before financing



Net investment includes working capital. $30.00B capex - $21.81B depreciation + $3.16B working capital = $11.35B in 2030. Total 2027-30 physical capex is $124.5B.

The cash recovery comes later

Parent cash ($B)	2027	2028	2030
Recurring	**(12.24)**	**(2.42)**	**19.45**
Finite net credits	2.12	6.17	3.61
With credits	(10.12)	3.75	23.06

- **92.9% of operating value is after 2030.** The model then assumes $0.80 of incremental sales per dollar of net investment, with packaging modeled separately.
- **Follow group cash, not just product margins.** More sales must cover factory costs and replacement investment. The capital stress on page 7 tests that dependence.

Financing the combined CPU delay and factory stress

- **$2.65B peak draw; $126M interest at 8%.** The model draws in Q2-Q3 2028 and repays in Q4. Debt preserves the $20B buffer; it adds no net asset value.
- **$15B committed capacity is disclosed.** $5B matures in August 2029 and $10B in August 2031. Future access is assumed; pricing, fees and covenant terms remain unverified.

Sources: Intel Q3 facilities, cash and claims; analyst operating and funding model. Recurring means parent operating cash after tax, net investment, leases and minorities, excluding finite credits and financing. R&D remains expensed. Combined stress retains $124.5B near-term capex; its 2030 recurring cash is $15.33B. Funding assumes full-quarter interest on new draws, no immediate tax benefit or incremental fees. $20B is an assumed quarter-end buffer, not a covenant; daily liquidity is not established.

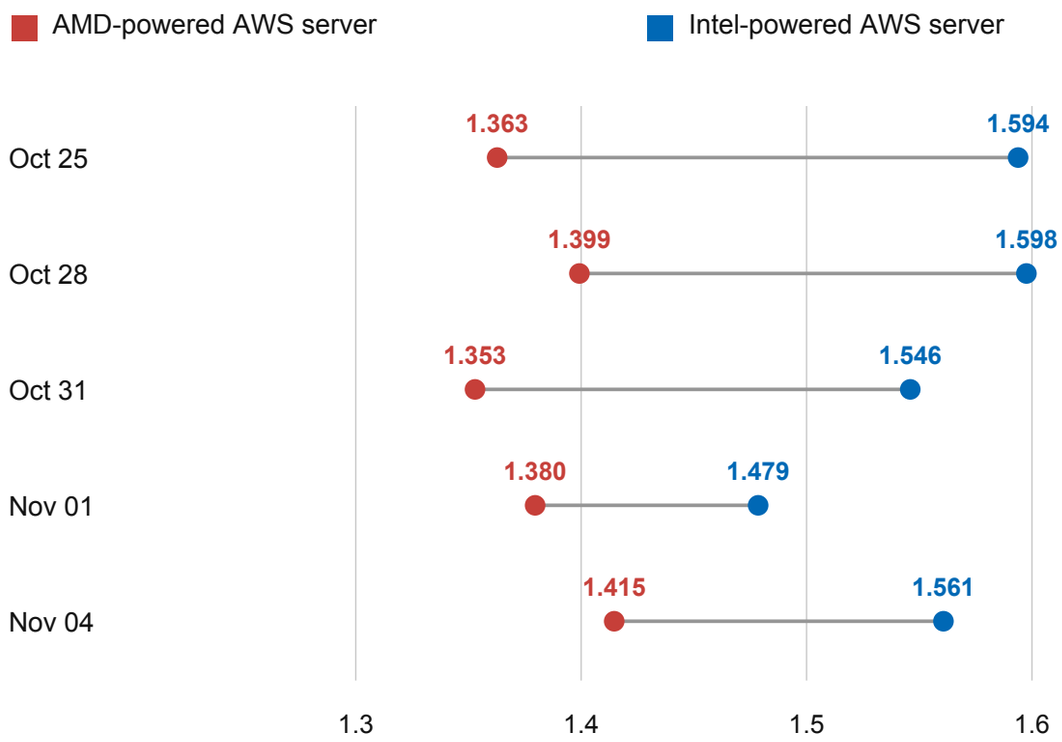
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Workload Cost Comparison

AMD-powered AWS servers cost less in these five builds

Calculated cost per successful build (US cents)



Lower normalized cost is better | paired dates in 2026

Same cloud size does not mean equal physical cores

Purchased shape	Intel	AMD
vCPU / memory	8 / 32 GiB	8 / 32 GiB
Physical cores	**4 + SMT**	**8**
Mean cost / success	**1.555 cents**	**1.382 cents**
Median job duration	114 sec	87 sec

- **AMD costs 11.2% less on average.** Changing the shutdown window reduces the advantage to 7.8%, with the same direction.
- **I retain Intel shipment-share losses.** This result is consistent with competitive pressure; it cannot estimate the size of those losses or Intel's supplier margins.

Five paired public Rust builds | Original analysis of public records

- **Same vCPU and memory, different cores.** Intel m8i.2xlarge has four physical cores plus SMT; AMD m8a.2xlarge has eight. All ten primary logs passed 45 tests.
- **Normalized cost, not an invoice.** Mainly spot executions were repriced at common on-demand EC2 + EBS rates. This is one workload, not enterprise-wide total cost.

Sources: Runs-On benchmark methodology; frozen raw logs and harness (CC BY 4.0); AWS on-demand rate file. Reanalysis of five paired public records, not a new experiment. Cost includes estimated billed runtime and EBS at common on-demand rates; it is not an equal-physical-core comparison or an actual invoice.